

Exhibit B1 — Press Excerpt (English)

Healthcare shows strong signs of recovery · FT Adviser

11 August 2026 · Abridged excerpt

Alexandre Landi

Exhibit B1

Abridged excerpt for this case study — not a full reproduction of the source article.

Full article: McDermott, D., “Healthcare shows strong signs of recovery,” *FT Adviser*, 11 August 2026.

<https://www.ftadviser.com/content/b5340a65-ad65-466e-b4bb-f8d30f76bc5a>

Context

After several years of underperformance, global healthcare equities began a **significant turnaround** in mid-2026. Advisers and fund managers report growing client interest in sector exposure, driven by improved fundamentals and easing policy uncertainty.

Key points

Recovery after a long slump

Healthcare had lagged despite supportive long-term trends (demographics, innovation, AI). In recent months, investors have “finally adjusted their view” and the sector has staged a turnaround.

Policy overhang has eased

Earlier concerns included US **most-favoured-nation drug pricing**, pharmaceutical tariffs, and administrative disruption in US health agencies. By end-2025, major pharmaceutical companies had reached **pricing agreements** with the US administration and institutional normality had largely returned.

Valuations vs fundamentals

- **Gareth Powell** (Polar Capital Global Healthcare Trust): valuations have been “*disconnected from strong fundamentals*.”
- **Siddharth Jain** (GQG Partners): pharmaceuticals trade at *one of the largest discounts to the broader market on record* — “a mean-reverting thing. These discounts don’t last forever.”

Structural growth drivers

- Ageing populations → higher healthcare demand
- Innovation: immunotherapy, targeted therapies, improved cancer survival
- **AI adoption** in diagnostics and R&D
- **M&A acceleration** in biotech

Fund-manager positioning

Several managers report **increasing healthcare allocations**, including European names (Novartis, AstraZeneca, GSK).

Risks acknowledged

Government reimbursement pressure, US market dependency, patent cliffs, tariff and pricing policy risk — largely described as “*well known and understood*” by the market.

Author's closing thesis

“Valuations had moved too far for the healthcare sector, reflecting only its problems and not its potential upside. The revival of the past few months may show that the market is starting to recognise its strengths.”